WEEK 2 · LECTURE L1 · UNIT I

Drivers of Digital Transformation in HR

Why now? What pushes organizations to transform, why technology alone does not deliver it, and how HR’s role changes.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

1. Distinguish a driver from a technology, and adoption from maturity.
2. Classify the drivers of HR digital transformation into four families, with Indian examples, and rank them for a case.
3. Apply Schwab, the TOE framework, institutional isomorphism, the resource based view and Ulrich’s roles to a digital HR decision.
4. Explain why leadership capability (Westerman et al.) and the changing nature of work (Scully-Russ and Torraco) decide whether drivers become transformation.
5. Evaluate how the HR role is changing, and use practitioner surveys critically.

ONE SOURCE

The same theories as the in class lecture and the course hub. This edition leaves out the simulation data used in class. Course outcome: CLO 1.

COMMIT BEFORE THEORY

Commit to an answer first

Two banks buy the same HR software. One transforms; the other gets an expensive system nobody uses. What best explains the difference?

A

One negotiated a better price

B

Leadership capability: vision, engagement and governance of the change

C

The successful bank had younger staff

D

Luck

EXAM LENS

The answer is B. The rest of the lecture explains why the same technology produces different results.

THE IDEA THAT RUNS THROUGH THIS LECTURE

Technology adoption is not maturity

	What it is	How long it takes
Adoption	Buying and installing technology	It can be purchased in a quarter
Maturity	The organizational capability to make technology deliver results	Built over years, and never evenly distributed inside a firm

WHY IT MATTERS

Most failed programs confused the first with the second: the tools arrived, the capability did not.

THE DISTINCTION THAT GOVERNS THE LECTURE

A technology is not a driver

Driver

A force that changes the cost of not acting: a rival’s faster hiring, a new law, rising attrition costs.

Technology

The means by which acting becomes possible: cloud software, mobile apps, APIs, analytics.

Push and pull

Transformation is pushed by forces outside HR’s control and pulled by the opportunities technology opens.

Not a driver

“We need AI.”

A driver

“Store attrition is high and we cannot see why.”

EXAM LENS

When asked “why now”, answer with drivers, not technologies. Naming technology as the driver is the commonest weak answer: technology is the enabler, the driver is the problem it addresses.

THE FOUR FAMILIES

Four families of driver, pushing at once

Family	What it does	Examples
Technological	Makes change possible	Cloud subscriptions replace capital spending; APIs make systems composable; cheap mobile data reaches the frontline; AI enables screening, prediction and conversational service
Economic	Makes change worth it	HR is a cost center; attrition becomes a visible cost line; time to hire becomes lost revenue; administration cost scales with headcount
Workforce	Makes change necessary	Gig and platform work grows; consumer grade expectations; skills age faster; dispersed and hybrid work
Competitive and regulatory	Makes change urgent	Transparent talent markets and employer brand; rivals for gig partners; DPDP Act 2023; Code on Social Security 2020; peer imitation

EXAM LENS

A strong answer ranks the drivers for a given organization and justifies the ranking with evidence, rather than listing all four equally. Drivers create pressure; they do not tell an organization what to do (Course framing).

DRIVER 1 · TECHNOLOGICAL

Falling cost, rising reach

Capital spending to subscription

Cloud software sold as a subscription removes the large on premise installation that kept mid size Indian firms out of enterprise HR systems.

The API economy

APIs let systems exchange data, so point solutions become composable rather than isolated islands.

Mobile reach

For the first time the frontline is technically reachable through personal smartphones, including staff who never had a desk.

Public digital rails

India Stack (Aadhaar eKYC, DigiLocker, UPI, e sign) lowers the cost of identity, document checks and payment, something few Western frameworks anticipate.

People costs become visible; the workforce changes shape

Economic: HR is a cost center

The CFO asks for cost per employee served, cost per hire and the return on each system. Once attrition, vacancy days and administration have a rupee figure, an HR problem becomes a Board problem.

Economic: hidden costs

Manual processes carry costs in reconciliation, errors and slow decisions that become visible only when measured.

Workforce: composition

Workforces are younger, more mobile, more often frontline or contingent. Many HR systems still recognize only permanent employees.

Workforce: expectations and distribution

Employees expect the experience of consumer apps; skills age faster, so reskilling becomes continuous; hybrid and dispersed work removes the co presence that made informal HR possible.

DRIVER 4 · COMPETITIVE, REGULATORY AND INSTITUTIONAL

The driver that does not wait for readiness

Competitive

Firms compete for scarce skills and for gig partners who work across several platforms. Employer brand, review sites and referral speed turn a poor candidate experience into a market signal.

Regulatory

The DPDP Act 2023 sets duties on every employer that processes personal data; the Code on Social Security 2020 brings gig and platform workers into the welfare system.

Institutional

Peers adopt, vendors sell, Boards read the same consultancy reports. The least respectable driver, and often the most powerful.

EXAM LENS

Regulation is the one driver that does not care whether the organization is ready.

SCHWAB (2016), APPLIED TO HR

Industry 4.0: three claims translated into HR

Schwab's claim	Implication for HR
Velocity: change is exponential, not linear	Multiyear HR system programs risk obsolescence on delivery; sequence in short cycles with measurable checkpoints
Breadth and depth: it changes who we are, not just what we do	Work identity is in play; resistance often defends a professional self description, not a process
Systems impact: whole systems transform	Digitize recruitment and you change workforce composition, learning load and eventually the employment relationship

EXAM LENS

Schwab writes for the World Economic Forum, an institution with an interest in the framing. Manuti and de Palma (2018) are a useful corrective: technology arrives inside power relations.

WESTERMAN, BONNET AND MCAFEE (2014)

Digital capability and leadership capability



Digital capability (the what)

What technology changes in customer (in HR, employee) experience, operational processes and business models.

Leadership capability (the how)

A digital vision, engaging the organization, governing the transformation, and technology leadership.

Axes as in Westerman et al.'s digital mastery matrix (the MIT and Capgemini research behind the book): vertical, digital; horizontal, leadership. The full evidence is in Lecture 2.

SCULLY-RUSS AND TORRACO (2020)

The changing nature of work

1 · Technology

Tasks are automated and augmented.

2 · Organization of work

From stable jobs to projects, contracts and platforms.

3 · Identity and skills

People must keep learning and realigning who they are at work.

Why work is changing (pp. 73 to 77): technology, finance, worker behavior and institutional shifts.

EXAM LENS

For HR: continuous learning, worker voice, and a rethinking of HR’s own role. The change reaches all sectors, not only technology firms.

THE EVOLVING HR ROLE

Where the HR function is going

Position	Focus	Source of value
Administrative custodian	Records, compliance, payroll; increasingly automated	Efficiency
Service provider and designer	How employees experience HR through digital channels	Relevance
Evidence based partner	Using data to inform decisions about people	Judgment
Digital change agent	The operating model, the data, and arbitration between vendors, finance and algorithms	Accuracy and governance

EXAM LENS

These positions accumulate rather than replace one another; technology moves HR's work up from transactions only if HR builds the capability to follow (Course framing). Link the progression to Ulrich (1997).

FROM ADMINISTRATOR TO ARCHITECT OF WORK

Five emerging HR roles

Skills strategist

What capabilities the firm needs, and how to build them

Data steward

Quality, privacy and lawful use of people data

Algorithm governor

Auditing tools that judge people

Experience designer

Services that work on every device and in every language

Change agent

Leading the transformation (Week 11)

Scully-Russ and Torraco’s warning

HR cannot stay only a functional agent of the firm: it must build learning into daily work, give workers a voice in the rules that govern them, and work with technology designers early (pp. 83 to 85).

The five roles are Course framing.

THEORY IN DEPTH · TORNATZKY AND FLEISCHER (1990)

Adoption depends on technology, organization and environment

The core idea

The TOE framework explains why firms adopt technology by examining three contexts together.

How it works

Technology: what is available and fits.
Organization: linking structures, communication, size and slack.
Environment: industry, competitors, regulators and partners.

Limits and critique

A broad checklist rather than a precise theory; it names factors but not their weights.

IN PRACTICE

Many Indian firms have the technology (cloud, mobile, India Stack) and the environmental pressure (DPDP Act), but lack the organizational capability to use them.

EXAM LENS

Use TOE to structure an adoption analysis in three parts, then say which context is binding in the case given.

THEORY IN DEPTH · DIMAGGIO AND POWELL (1983)

Firms copy each other to look legitimate

The core idea

Institutional isomorphism: organizations become alike not only for efficiency but for legitimacy.

How it works

Coercive pressure (laws, regulators); mimetic pressure (copying peers under uncertainty); normative pressure (professional standards).

Limits and critique

It explains similarity well, but less well why some firms resist or innovate.

IN PRACTICE

A Board asking “why are our peers digital and we are not?” is applying mimetic pressure; the DPDP Act is coercive pressure.

EXAM LENS

Distinguish the three pressures precisely, and note that mimetic adoption can produce technology without capability.

THEORY IN DEPTH · BARNEY (1991); BECKER AND HUSELID (2006)

Advantage comes from resources rivals cannot copy

The resource based view

Lasting advantage needs resources that are valuable, rare, inimitable and nonsubstitutable. Software anyone can buy is not rare; advantage lies in how people, data and processes are combined.

Strategic HRM architecture

HR practices create value as a coherent system, not alone; invest disproportionately in the “A positions” that drive advantage; implementation quality depends on line managers.

Limits

Critics call the resource based view hard to test, since rare resources are often identified only after success.

IN PRACTICE

Buying a leading HR suite gives no lasting advantage; clean data and a workforce able to use it might. Scientific management and bureaucracy shaped administrative HR; the resource based view and the knowledge economy made people strategic.

Strategic HRM points from the course’s Unit 1 teaching note, drawing on Becker and Huselid (2006).

THEORY IN DEPTH · ULRICH (1997)

HR plays four roles, and the change agent role is the hardest

The core idea

HR can be administrative expert, employee champion, strategic partner and change agent.

How it works

The roles sit on two axes: processes or people, and day to day operations or a future, strategic focus.

Limits and critique

Later work warned that chasing strategic roles can neglect employee advocacy (Course framing).

IN PRACTICE

Digital HR frees time from administration only if HR then takes up the strategic and change roles.

EXAM LENS

A strong answer shows that digitization automates the administrative expert role and asks what replaces it.

PRACTITIONER EVIDENCE

Deloitte, Bersin and their limits

What Deloitte (2026) is

A survey, run with Oxford Economics, of more than 3,000 business and HR leaders in 15 countries, plus surveys of 6,000 workers, managers and executives and more than 50 interviews.

Its three tipping points

From humans and machines side by side to humans times machines; from cost efficiency to value creation; from static plans to dynamic orchestration. Seven in ten leaders say their main strategy is to be fast and nimble.

How to use them

Practitioner surveys, not peer reviewed research; consultancies have commercial interests; a ranking of what leaders think is important is not evidence of what works. Use them to name drivers and find questions to test.

Deloitte (2026), Global Human Capital Trends. Bersin’s HR technology market reports describe the vendor landscape and adoption patterns.

Why HR frameworks travel badly

Five features

A complex and changing body of labor law · hierarchy and personal relationships in workplace decisions · family owned business groups · a very large informal sector · wide regional, linguistic and educational diversity

What it means for digital HR

Tools that assume English, a laptop and a flat, rule based feedback culture will underperform. Compliance (labor codes, DPDP) is a stronger driver than in many Western settings. Relationship based workplaces make champion networks and supervisor buy in especially important.

APPLY

A fashionista HR function

Teaching case (Course framing)

A Gurugram consumer goods firm has bought eight HR tools in three years: an ATS, a learning app, a pulse survey, a chatbot and four others. Each was chosen by a different manager. Usage is low, the tools do not share data, and the CEO asks what HR’s digital strategy is.

Work it through

1. Where does the firm sit on Westerman’s grid, and why?
2. Which leadership capability is most clearly missing?
3. Which of the four drivers is pushing the firm?
4. What would a vision statement need to say instead of a tool list?

COMMON CONFUSIONS

Tempting readings, and better ones

A tempting reading	A better reading
More digital tools mean more digital maturity	Westerman: digital capability without leadership capability makes a fashionista
Drivers tell you what to do	Drivers create pressure; strategy decides the response
Technology is the driver	Technology is the enabler; the driver is the problem it addresses
The nature of work is changing only for technology firms	Scully-Russ and Torraco: projects, contracts and platforms reach all sectors
Buying the leading suite creates advantage	Barney: what anyone can buy is not rare

COMPARE AND EVALUATE

Seven lenses on why organizations transform

Theory	Explains	Main weakness
Schwab (2016)	Why the pressure is new in kind	Written for the WEF; a high bandwidth view
TOE (Tornatzky and Fleischer, 1990)	Whether adoption happens	Names factors without weights
Institutional isomorphism (DiMaggio and Powell, 1983)	Why firms look alike	Weak on resistance and innovation
Resource based view (Barney, 1991)	Whether adoption creates advantage	Hard to test in advance
HR roles (Ulrich, 1997)	What HR becomes after digitization	Can neglect employee advocacy
Westerman et al. (2014)	Why the same tools give different results	Correlation, not proof of cause
Scully-Russ and Torraco (2020)	How work itself is changing	An integrative review, not a test *

* Course framing.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (1 of 2)

Using Westerman, Bonnet and McAfee’s two capabilities and Scully-Russ and Torraco’s account of changing work, explain why an Indian manufacturer’s HR technology investments have not produced transformation, and what should change. **20 marks**

A strong answer: places the firm on the grid with reasons; identifies the drivers and shows how they should shape strategy; uses the changing nature of work to show what HR must build; recommends leadership actions and notes one limit.

Distinguish drivers from technologies in HR digital transformation. Using the four families of drivers, explain why Indian organizations are transforming their HR systems now. **20 marks**

A strong answer: defines both terms; ranks drivers with justification; uses Indian specifics (India Stack, DPDP Act, gig growth); notes that institutional drivers can produce technology without capability.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (2 of 2)

“Buying HR technology cannot create competitive advantage.” Evaluate this statement using the resource based view and institutional theory. **20 marks**

A strong answer: applies the VRIN test; contrasts mimetic adoption with capability building; concludes with the conditions under which technology does contribute to advantage.

Explain Ulrich’s four HR roles and show how digital transformation changes their relative importance. **10 marks**

A strong answer: names the roles and axes; links automation to the administrative role; identifies the change agent role as the hardest.

CARRY THESE INTO THE EXAMINATION

Four things to remember

1. **Drivers change the cost of not acting; technologies make acting possible.**
   Answer “why now” with drivers, and rank them for the case.

2. **Four families: technological, economic, workforce, competitive and regulatory.**
   Regulation does not wait for readiness.

3. **Adoption is not maturity.**
   Technology can be bought; the capability to use it must be built.

4. **Leadership capability decides the result.**
   The same software transforms one firm and becomes shelfware in another.

SET READINGS · FROM THE LESSON PLAN

Read for this week

- Westerman, G., Bonnet, D., & McAfee, A. (2014). *Leading digital*, Chapters 1 and 2 and the maturity framework.
- Scully-Russ, E., & Torraco, R. J. (2020), pp. 73 to 77: the antecedents of new forms of work.
- Deloitte, Global Human Capital Trends (latest), selected sections.

NOTE

The other works named in this lecture are theory sources for reference, not set readings.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

- Barney, J. (1991). Firm resources and sustained competitive advantage. *Journal of Management, 17*(1), 99 to 120. https://doi.org/10.1177/014920639101700108
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